opines, "This progressive step not only solidifies India's position as a manufacturing hub for EVs but also fosters a conducive environment for global players to invest in our burgeoning market."

What about local champions and China?

Part of various recent policies centred around electronics manufacturing in India has made mention of inviting the global champions of a particular field to set up a base in India. This time around, "reputed global EV manufacturers" has replaced the term "global champions." The government also seems to have stressed on EVs with the latest technology in the policy.

One of the terms of the policy stresses on a "minimum ₹10,000 crore (approx. $1150 million) global group revenue (from automotive manufacturing), based on the latest audited annual financial statements at the time of application." Moreover, the local EV OEMs in India have been raising concerns around the likes of Tesla being given any special treatment in the country, similar to the likes of Tesla getting in their home country!

Ashish Bagadia, Partner, Corporate Finance and Investment Banking, BDO India, says, "The government is not allowing pure import; however, providing some leeway to global manufacturers in terms of timelines for setting up the local manufacturing infrastructure, till the time volumes justify another plant for them."

The price of the most selling electric car in India at present is about ₹14,00,000 (approx. $17,000), whereas the policy mentions the minimum value of the electric cars to be imported as $35,000 (approx. ₹29,00,000), inclusive of cost, insurance, and freight (CIF).

"Over ₹10,000 crore global group revenue added with $35,000 CIF hints that majority of OEMs applying for the policy are going to operate in the above ₹35 lakh segment in India," the analyst says, adding that Tata and Mahindra have been trying to cement their ground in the under ₹20 lakh category.

In the long run, the flagship cars of Indian OEMs may find themselves competing against the entry-level variants of international OEMs. For example, the entry-level Tesla 3 might get pitted against the electric version of Tata Safari or Mahindra XUV 700. India's policy clauses on investment made in the country by the neighbours it shares land with will restrict the majority of Chinese companies from competing in the local market. The PN3, announced in 2020, mandated FDI by countries sharing land borders with India, which shall be permitted only with prior government approval.

Vikram Handa, Managing Director, Epsilon Advanced Materials, says, "India's new EV policy marks a pivotal moment in our nation's journey towards sustainable mobility. We welcome this initiative wholeheartedly and are ready to support international EV OEMs like Tesla and others with our indigenous battery materials, effectively mitigating reliance on Chinese imports."

Taking Indian component ecosystem global

According to Shamsher Dewan, Senior Vice President and Group Head - Corporate Ratings, ICRA Limited, this policy would help access global technologies, expand product range, and improve cost competitiveness, all of which would facilitate enhanced EV adoption. ICRA currently expects about 15% of new car sales to be electric by 2030. He says, "This

EV Manufacturing Policy At A Glance

Piyush Goyal, Minister of Commerce & Industry, Government of India

- Minimum Investment required: ₹4150 crore (~$500 million). No limit on the maximum Investment.
- Timeline for manufacturing: Three years to set up manufacturing facilities in India to start commercial production of e-vehicles and reach 50% domestic value addition (DVA) within five years at the maximum.
- Domestic value addition (DVA) during manufacturing: A localisation level of 25% by the third year and 50% by the fifth year will have to be achieved.
- The customs duty of 15% (as applicable to CKD units) would be applicable on vehicles of minimum CIF value of $35,000 (approx. ₹29,00,000) and above for a total period of five years, subject to the manufacturer setting up manufacturing facilities in India within a three-year period.
- The duty foregone on the total number of EVs allowed for import would be limited to the investment made or ₹6484 crore (equal to incentive under the PLI scheme), whichever is lower.
- A maximum of 40,000 EVs at the rate of not more than 8000 per year would be permissible if the Investment is $800 million (approx. ₹6650 crore) or more.
- The carryover of unutilised annual import limits would be permitted.
- The investment commitment made by the company will have to be backed up by a bank guarantee in lieu of the custom duty forgone.
- The bank guarantee will be invoked in case of the non-achievement of DVA, and minimum investment criteria will be defined under the scheme guidelines.